

14 Sep 2026 02:16:17 ET | 11 pages

China Jushi (600176.SS)

E-fabric Read-across from Citi Shenzhen PCB Tour; Reiterate Buy

CITI'S TAKE

We joined Citi's Tech team on its Shenzhen PCB tour on Sep 10 and met with Delton, Kinwong, JPT, and Han's CNC. Our read-across for upstream e-fabric is constructive. Downstream PCB makers confirmed persistent material tightness and improving price pass-through, while higher PCB layer counts and more complex AI/optical designs are lifting e-fabric consumption per board. M8/M9/Q-glass upgrades are also changing drilling requirements, suggesting higher processing complexity and qualification barriers. For China Jushi, the key read-across is stronger conventional e-fabric demand, supported by higher PCB layer counts, rising AI/optical PCB output and constrained near-term supply additions. Specialty e-fabric should benefit structurally from M8/M9 migration and tighter material specifications. Reiterate Buy.

Higher layer counts should lift conventional e-fabric consumption. Kinwong highlighted continued migration toward higher-layer AI server and optical-transceiver PCBs. By 2027, global transceiver demand is forecast at 150–200mn units, including 100–120mn units of 800G and 50–80mn units of 1.6T, representing ~2x growth. Higher layer counts and more complex board structures should increase laminate and e-fabric consumption per finished PCB, providing a positive read-across for China Jushi's conventional e-fabric business.

Downstream confirms material tightness and pricing support. Both Delton and Kinwong indicated that material shortages have become severe enough to create potential production-disruption risks, improving PCB makers' ability to pass higher material costs downstream. Traditional PCB GPM recovered from ~16–17% to >20% in May–June, while CCL prices are expected to remain elevated. This provides downstream confirmation that current material tightness is genuine and remains supportive of upstream pricing.

M8/M9 migration strengthens the structural case for specialty e-fabric. Both JPT and Han's CNC noted that next-generation M8/M9 materials are materially more difficult to process, with ultrafast laser drilling increasingly required as conventional CO₂ solutions face limitations. Han's CNC specifically highlighted Q-glass as a key inflection point for drilling technology, suggesting specialty fabrics are becoming more deeply embedded in downstream manufacturing processes and could carry higher qualification and switching barriers.

Buy

Price (11 Sep 26 15:00)	Rmb44.660
Target price	Rmb67.000
Expected share price return	50.0%
Expected dividend yield	1.8%
Expected total return	51.8%
Market Cap	Rmb178,780M
	US\$26,651M

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PCB capacity expansion should remain gradual despite strong investment plans. Kinwong indicated that some key PCB equipment lead times already exceed 24 months, while Han's CNC sees >1,000 units of potential ultrafast-laser demand from leading optical-transceiver PCB makers, although this potential demand has yet to translate into confirmed orders. This suggests effective downstream capacity will ramp more gradual and potentially extend the current AI PCB investment cycle, supporting a longer-duration demand cycle for upstream e-fabric.

China Jushi

Valuation

Our target price for Jushi of Rmb67/sh is based on 26x 2027E P/E, equivalent to +1 standard deviation above the stock's historical average P/E since listing, but still below the current forward valuation of relevant peers. We set our TP based on 2027E earnings, as we believe it better captures the full-year earnings benefits from higher E-fabric pricing, capacity ramp-up and product-mix upgrades. We believe our target multiple is justified by Jushi's global cost leadership, integrated electronic yarn-and-cloth platform and superior earnings leverage to the ongoing E-fabric upcycle, while also noting we do not yet assign any material value to its longer-dated capacity expansion or potential upside from specialty E-fabric products.

Risks

Major downside risks to the share price include: 1) weaker-than-expected demand for glass fiber products; 2) rising energy/power costs; and 3) greater-than-expected capacity additions. Major upside risks include: 1) better-than-expected demand; and 2) supply-side discipline that helps protect margins.

Any of these risk factors could cause the shares to deviate from our target price.

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China Jushi (600176.SS)
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Fundamental Research

Analyst: Anna Wang



	Date	Rating	Target Price	Closing Price
1	25-Oct-23 10:31:45	1	*14.50	11.71
2	19-Dec-23 02:47:41	1	*11.70	9.74
3	28-Apr-24 22:36:01	1	*17.50	11.92

	Date	Rating	Target Price	Closing Price
4	03-Apr-25 01:27:01	1	*15.00	12.78
5	28-Nov-25 04:18:57	1	*19.80	14.91
6	18-Jan-26 17:52:14	1	*26.10	18.78

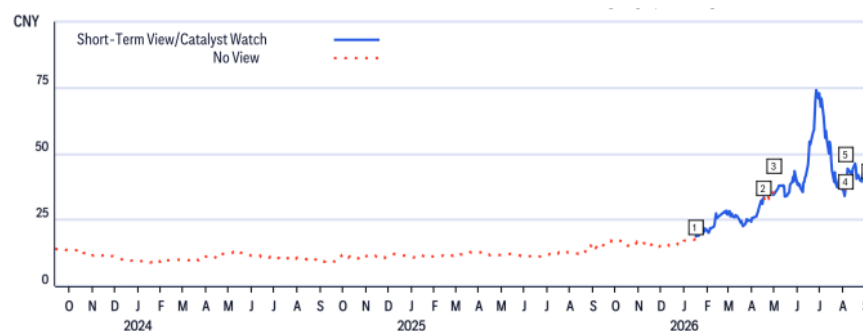
	Date	Rating	Target Price	Closing Price
7	06-May-26 03:42:56	1	*43.40	37.00
8	16-Jul-26 06:47:54	1	*67.00	47.71

*Indicates Change

Rating/target price changes above reflect Eastern Time

China Jushi (600176.SS)
Short-Term View/Catalyst Watch Research

Analyst: Anna Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	18-Jan-26 12:52:14	Add CW	Upside	90 Days	18.78
2	17-Apr-26 14:05:12	Remove CW	Upside	90 Days	33.50

	Date	Action	Expected Direction	Duration	Closing Price
3	05-May-26 23:42:56	Add CW	Upside	90 Days	34.50
4	04-Aug-26 23:05:44	Remove CW	Upside	90 Days	36.19

	Date	Action	Expected Direction	Duration	Closing Price
5	05-Aug-26 05:38:23	Add CW	Upside	30 Days	39.28
6	04-Sep-26 14:05:59	Remove CW	Upside	30 Days	40.18

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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